IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT-II)
IN
COMPANY APPLICATION NO. – C.A.(CAA)-83/ND/2023

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

KRISH COLONISER PRIVATE LIMITED
Having its Registered Office at
G-6, Ground Floor, Gupta Apartment
K 139, Kalkaji, South Delhi - 110019

...Applicant/Transferor Company No. 1

AND

KRISH PROPERTIES PRIVATE LIMITED
Having its Registered Office at
G-6, Ground Floor, Gupta Apartment
K 139, Kalkaji, South Delhi - 110019

...Applicant/Transferor Company No. 2

AND

PRISTINE NIRMAN PRIVATE LIMITED
Having its Registered Office at
G-6, Ground Floor, Gupta Apartment
K 139, Kalkaji, South Delhi - 110019

...Applicant/Transferor Company No. 3

AND

RAVI BUILDERS PRIVATE LIMITED

Having its Registered Office at

G-6, Ground Floor, Gupta Apartment

K 139, Kalkaji, South Delhi - 110019

...Applicant/Transferor Company No. 4

WITH

GUPTA CITI SHELTERS PRIVATE LIMITED

Having its Registered Office at

Space No. 303, Third Floor, Ashok Bhawan

Nehru Place, New Delhi - 110019

Applicant/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order delivered on 03.09.2024

Under Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. SUBRATA KUMAR DASH, HON'BLE MEMBER (T)

PRESENT:

For the Applicant : Adv. Saurabh Kalia, Adv. Karan Mehta Adv. Videh Vaish, Adv. Lalit Mohan, Adv. Aakansha

ORDER

The present petition has been preferred jointly by **Krish Coloniser Private Limited** (hereinafter referred to as "Applicant/Transferor Company No. 1"), **Krish Properties Private Limited** (hereinafter referred to as "Applicant/Transferor Company No. 2"), **Pristine Nirman Private Limited** (hereinafter referred to as "Applicant/Transferor Company No. 3"), **Ravi Builders Private Limited** (hereinafter referred to as "Applicant/Transferor Company No. 4") and **Gupta Citi Shelters Private Limited** (hereinafter referred to as "Applicant/Transferee Company") seeking the following reliefs: -

i. *"The requirement for convening and holding the meetings of the Shareholders as well as the Secured and Unsecured Creditors of the Transferor Company No. 1/ Applicant Company No. 1 be dispensed with.*

ii. *The requirement for Publication of Notices for the said meetings of the Transferor Company No. 1/ Applicant Company No. 1 be dispensed with.*

iii. *The requirement for convening and holding the meetings of the Shareholders as well as the Secured and Unsecured Creditors of the Transferor Company No. 2/ Applicant Company No. 2 be dispensed with.*

iv. *The requirement for Publication of Notices for the said meetings of the Transferor Company No. 2/ Applicant Company No. 2 be dispensed with.*

v. *The requirement for convening and holding the meetings of the Shareholders as well as the Secured and Unsecured Creditors of the Transferor Company No. 3/ Applicant Company No. 3 be dispensed with.*

vi. *The requirement for Publication of Notices for the said meetings of the Transferor Company No. 3/ Applicant Company No. 3 be dispensed with.*

vii. *The requirement for convening and holding the meetings of the Shareholders as well as the Secured and Unsecured Creditors of*

the Transferor Company No. 4/ Applicant Company No. 4 be dispensed with.

viii. *The requirement for Publication of Notices for the said meetings of the Transferor Company No. 4/ Applicant Company No. 4 be dispensed with.*

ix. *The requirement for convening and holding the meetings of the Shareholders as well as the Secured and Unsecured Creditors of the Transferee Company/ Applicant Company No. 5 be dispensed with.*

x. *The requirement for Publication of Notices for the aforesaid Meetings of the Transferee Company/Applicant Company No. 5 be dispensed with.*

xi. *The Applicant Companies be permitted to file the petition for sanctioning the Scheme of Amalgamation within seven (7) days from the receipt of the Order passed by this Hon'ble Tribunal on the present application.*

xii. *Pass such and further order(s) as this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of the case."*

2. The Applicants in the present case are as under:

2.1 **KRISH COLONISER PRIVATE LIMITED** having CIN U74899DL1992PTC046989, is a private limited company, incorporated on 02.01.1992 under the Companies Act, 1956. The Registered Office of the Applicant/ Transferor Company No. 1 is situated at G-6, Ground Floor, Gupta Apartment, K 139, Kalkaji, Delhi, India, 110019. The Authorised Share Capital of the Company is Rs. 5,00,000/- and its Paid-up Share Capital is Rs. 4,23,000/-.

2.2 **KRISH PROPERTIES PRIVATE LIMITED** having CIN U74899DL1988PTC030451, is a private limited company, incorporated on 28.01.1988 under the Companies Act, 1956. The Registered Office of the Applicant/ Transferor Company No. 2 is situated at G-6, Ground Floor,

Gupta Apartment, K 139, Kalkaji, Delhi, India, 110019. The Authorised Share Capital of the Company is Rs. 50,00,000/- and its Paid-up Share Capital is Rs. 13,55,200/-.

2.3 **PRISTINE NIRMAN PRIVATE LIMITED** having CIN U45400DL1997PTC086407, is a private limited company, incorporated on 03.04.1997 under the Companies Act, 1956. The Registered Office of the Applicant/ Transferor Company No. 3 is situated at G-6, Ground Floor, Gupta Apartment, K 139, Kalkaji, Delhi, India, 110019. The Authorised Share Capital of the Company is Rs. 5,00,000/- and its Paid-up Share Capital is Rs. 4,75,500/-.

2.4 **RAVI BUILDERS PRIVATE LIMITED** having CIN U74899DL1986PTC023128, is a private limited company, incorporated on 20.01.1986 under the Companies Act, 1956. The Registered Office of the Applicant/ Transferor Company No. 4 is situated at G-6, Ground Floor, Gupta Apartment, K 139, Kalkaji, Delhi, India, 110019. The Authorised Share Capital of the Company is Rs. 5,00,000/- and its Paid-up Share Capital is Rs. 3,43,000/-.

2.5 **GUPTA CITI SHELTERS PRIVATE LIMITED** having CIN U45200DL1994PTC061234, is a private limited company, incorporated on 02.09.1994 under the Companies Act, 1956. The Registered Office of the Applicant/Transferee Company is situated at Space No. 303, Third Floor, Ashok Bhawan, Nehru Place, New Delhi, India, 110019. The Authorized Share Capital of the Company is Rs. 1,00,00,000/- and its Paid-up Share

Capital is Rs. 92,78,600/-.

3. The present Application has been preferred by the 'Transferor Companies' and 'Transferee Company' (hereinafter referred to as the **'Applicant Companies')**. The Registered offices of all the Applicants Companies being in Delhi, they are falling under the territorial jurisdiction of this Bench.

4. As far as the present application is concerned, it is seen from the record that the Board of Directors of all the Applicant Companies vide their meetings held on 31.08.2023 have approved the proposed 'Scheme of Amalgamation'. Copies of Resolution of the Board of Directors of Applicant Companies are found on record at Annexure 21, 22, 23, 24 and 25.

5. The Appointed Date of the Scheme is 01.04.2023 as defined in Clause 3.1.1.3 of Section 1 of Part C of the Scheme of Amalgamation.

6. The rationale of the proposed amalgamation Scheme, as espoused by the Applicants read thus:

> "*2.1 This Scheme of Amalgamation is presented under Sections 230 to 232 of the Companies Act. 2013 and other relevant provisions of the Companies Act, 2013, as may be applicable, for merger of the above-mentioned Companies. The Transferor Companies No. 1 to 4 and the Transferee Company are group Company and are managed by same Directors, and having majority of Shareholders in common. In order to facilitate focussed management and efficient utilisation of surplus assets and resources of the Transferor*

Companies No. 1 to 4, bring cost and administrative benefits, it has been decided by the Board of Directors of the Transferor Companies No. 1 to 4 and the Transferee Company that it would be in the interest of each of the companies and their respective stakeholders to take appropriate steps to effect Amalgamation of the Transferor Companies No. 1 to 4 into and with the Transferee Company. The Scheme would benefit the respective companies and their shareholders and creditors.

2.2 Transferor Companies No. 1 to 4 and the Transferee Company are group Company and are managed by same Directors, and having majority of Shareholders in common. Consolidation of the Transferor Companies No. 1 to 4 and the Transferee Company by way of Amalgamation would result in simplified corporate structure and therefore lead to a more efficient utilization of capital and create a consolidated base for future growth of the Transferee Company;

2.3 With a view to facilitate focused management and efficient utilization of assets and resources of the Transferor Companies No. 1 to 4, it is considered desirable to amalgamate the Transferor Companies No. 1 to 4 with the Transferee Company;

2.4 Consolidation of entities will enable most optimum reflection of the combined resources of the transferee Company. This will also result in greater transparency and greater accountability to the

shareholders;

2.5 Consolidation of entities will result in significant reflection in the multiplicity of legal and regulatory compliances required at present to be carried out by the both the Companies and also avoid duplication of administrative functions and eliminate multiple record-keeping."

7. The Applicant Companies have furnished the following documents: - Proposed Scheme of Amalgamation (Annexure 62 of the application).

i. Copy of Master Data and Memorandum and Articles of Association of Transferor Companies and Transferee Company (Annexures 1, 2, 4, 5, 7, 8, 10, 11, 13 and 14 respectively of the application).

ii. List of Shareholders of Transferor Company No. 1, 2, 3, 4 and Transferee Company along with No Objection Certificate (Annexure 26, 27, 28, 29 and 30 respectively of the application).

iii. Certificate of Chartered Accountant certifying the list of Secured Loan Creditors of the Transferor Company No. 1, 2, 3, 4 and Transferee Company as on 31.08.2023 (Annexure 31, 32, 33, 34 and 35 respectively of the application).

iv. Certificate of Chartered Accountant certifying the list of Unsecured Loan Creditors of the Transferor Company No. 1, 2, 3, 4 and Transferee Company as on 31.08.2023 and their Consent

Affidavits (Annexure 36, 37, 38, 39 and 40 respectively of the application).

v. Certificate of Chartered Accountant certifying Net Worth of the Transferor Company No. 1, 2, 3, 4 as on 31.03.2023 (Annexure 41, 42, 43 and 44 respectively of the application).

vi. Certificate of Chartered Accountant certifying Net Worth Certificate pre-and post-amalgamation of the Transferee Company as on 31.03.2023 (Annexure 45 of the application).

vii. Affidavit by Director of Transferor Companies and Transferee Company under Section 230(2) of the Companies Act, 2013 (Annexure 56, 57, 58, 59 and 60 respectively of the application)

viii. Certificates from Statutory Auditors to the effect that Accounting treatment proposed in the Scheme conforms with Section 133 of the Companies Act, 2013 are attached as Annexure 46, 47, 48, 49 and 50 of the application.

ix. Proposed Share Exchange Ratio, provided under the Report on Share Exchange Ratio of Mr. Gyaneshwar Sahai, Registered Valuer, attached as Annexure 61 of the application.

x. Audited financial statements for the Financial Year ended 31.03.2023 for the Transferor Companies and Transferee Company have been annexed and marked as Annexure 3, 6, 9, 12 and 15 respectively of the application.

8. It is further submitted by the counsel for Applicant Companies that as per the Valuation Report dated 08.09.2023 submitted by Mr. Gyaneshwar Sahai, Registered Valuer, IBBI Registration No. IBBI/RV/03/2018/10226 attached as Annexure 61 of the Application, that the Share Exchange Ratio is as given below:-

Valuation Analysis based on Summation Method

Particulars	Gupta Citi Shelters Private Limited	Krish Coloniser Private Limited	Krish Properties Private Limited	Pristine Nirman Private Limited	Ravi Builders Private Limited
Shareholder's Funds					
Share Capital	92,78,600	4,23,000	13,55,200.00	4,75,500	3,43,000
Reserves and Surplus	1,45,85,100	26,28,400	1,52,95,300.00	31,60,600	9,44,300
Long Term Borrowing	2,12,500				
Deffered tax Liability	-	-	-	-	-
Current Liabilities					
Trade Payables	30,000	4,800	5,000	15,300	15,500
Other Current Liabilities	5,000	-	-	-	12,000
Short Term Provision	-	500	4,100.00	4,400	2,200
Total	**2,41,11,200**	**30,56,700**	**1,66,59,600**	**36,55,800**	**13,17,000**
Assets					
Non-Current Assets					
Non Current Investments	1,49,80,400	28,67,500	1,09,37,500	36,45,700	9,69,500
Tangible Assets	18,600	-	-	-	-
Deferred Tax Assets	16,400	-	-	-	-
Current Assets					
Trade Receivables	-	-	-	-	28,100
Cash and Cash Equivalent	1,41,000	1,89,200	1,22,100	10,100	3,14,000
Short Term Loan & Advances	88,30,000	-	56,00,000	-	5,400
Other Current Assets	1,24,800	-	-	-	-
Total	**2,41,11,200**	**30,56,700**	**1,66,59,600**	**36,55,800**	**13,17,000**
Less: Book Value of Non Current Investment and Tangible Assets	1,49,99,000	28,67,500	1,09,37,500	36,45,700	9,69,500
Value of Non current Investment as per Audited Financial March 2022 (Shares)	1,09,63,335	13,67,637	64,83,480	10,46,773	14,38,389

Value of Non current Investment (Immoveable Properties)	2,54,22,500	24,75,000	84,02,200	19,93,800	16,35,000
Adjusted Net Assets	4,54,98,035	40,31,837	2,06,07,780	30,50,673	34,20,889
Less: Outside Liabilities	2,12,500	-	-	-	-

Adjusted Net Worth	4,52,85,535	40,31,837	2,06,07,780	30,50,673	34,20,889
No. of Shares	9,27,860	4,230	1,35,520	47,550	34,300
Value per Share	49	953	152	64	100
Swap Ratio	Not Applicable as this is the Transferee Company	19.529248	3.115665	1.314523	2.043468

No. of Shares to be allotted

Name of Shareholders	No. of Shares to be allotted for Direct Shareholding	No. of Shares to be allotted for Shareholding in Krish Properties	No. of Shares to be allotted for Shareholding in Pristine Nirman	Total No. of Share to be Allotted
Ajay Gupta	31,157	28,738	-	59,895
Amit Kumar Gupta	11,417	-	249	11,666
Anil Gupta	26,483	24,427	-	50,911
Anita Gupta	53,722	40,233	124	94,080
Avinash Gupta	50,181	28,738	187	79,106
Debu Chanda	91,248	74,719	-	1,65,967
Gaurav Hans	4,700	-	-	4,700
J.N. Mittal	1,022	-	-	1,022
Krishan Gopal Gupta	48,996	34,486	684	84,166
Mool Raj Walecha	1,315	-	124	1,439
Narender Bhatia	3,065	-	-	3,065
Poonam Bansal	131	-	12	144
Prince Punit Surender (HUF)	1,953	-	-	1,953
Punit Kumar Gupta	62,272	51,729	-	1,14,000
Punit Kumar Gupta, Amit Kumar Gupta, Saroj Gupta	37,655	34,543	-	72,198
R.B. Gupta (HUF) R.K.Gupta Karta	3,065	-	-	3,065
R.K. Gupta (HUF)	21,754	-	-	15,623
R.K. Gupta, Punit Kumar Gupta, Amit Kumar Gupta, Saroj Gupta	6,231	5,748	-	11,979
Rajeev Singhal	131	-	12	144
Rajender Kumar Gupta	21,540	8,621	746	30,907
Rajender Kumar, Punit Kumar Gupta	2,043	-	-	2,043
Ribhav Gupta	4,272	-	404	4,677
Richa Gupta	28,179	-	1,406	29,585
Rishab Gupta	9,886	-	684	10,571
Roopa Gupta	15,145	-	-	15,145
Saroj Gupta	28,362	-	411	28,772
Saroj Gupta W/o Shree Kishan Gupta	5,915	-	560	6,475
Shree Kishan Gupta	34,443	28,738	311	63,492
Sunil Gupta	31,157	28,738	-	59,895
Total	**6,37,440**	**3,89,458**	**5,915**	**10,32,814**

9. It is contended by the learned counsel that the Scheme (Annexure 62) also takes care of the interests of the staff/workers and employees of the Transferor Companies. By Clause 3.2.2 of the Scheme, it is stated that upon the Scheme coming into effect, all staff and employees of the Transferor Companies, on such date shall be deemed to have become staff and employees of the Transferee Company based on continuity of service without any break or interruption in service and terms and conditions of their employment with the Transferee Company shall not be less favourable than those applicable to them with reference to the Transferor Companies.

10. The Directors of the Applicant Companies have stated on Affidavit dated 27.09.2023 annexed as Annexure 51, 52, 53, 54 and 55 that as on the date of this Application, no proceeding for inspection, inquiry or investigation under Section 201, 213, 214, 215, 261(3), 261 (1), 216(4), 217, 219, 220 & Section 222 to 227 of the Companies Act, 2013. is pending against the Applicant Companies

11. The status of Equity Shareholders, Secured and Unsecured Creditors as also their Consent through Affidavits qua the Applicant Companies as espoused in the application filed by the Applicants can be summarised as below:

Company	Shareholders		Secured Loan		Unsecured Loan		Traders Creditors and advances	
	Nos.	Consent (%)	Nos.	Consent (%)	Nos.	Consent (%)	Nos.	Consent (%)
KRISH COLONISER PRIVATE LIMITED **Transferor Company no.1**	12	100 % ANNEXURE-26(COLLY) PAGE NO. 319-371	0	N.A	0	N.A		100% ANNEXURE-36(COLLY) PAGE NO. 735-741
KRISH PROPERTIES PRIVATE LIMITED	12	100% ANNEXURE-27(COLLY)	0	N.A	0	N.A.	1	100% ANNEXURE-37(COLLY)

LALIT MOHAN Advocate Enrl. No.MH/7147/15 Ch. No. 295, Patiala House Court New Delhi-110001 Ph: 9711577095 advocatelalitmohan@yahoo.com

Transferor Company No.2		PAGE NO. 372-440						PAGE NO. 742-745)
PRISTINE NIRMAN PRIVATE LIMITED **Transferor Company no.3**	14	100% ANNEXURE-28(COLLY) PAGE NO. 441-497	0	N.A	0	N.A.	3	100% ANNEXURE-38(COLLY) PAGE NO. 746-752
RAVI BUILDERS PRIVATE LIMITED **Transferor Company no.4**	16	100% ANNEXURE-29(COLLY) PAGE NO. 498-574	0	N.A.	0	N.A.	3	100% ANNEXURE 39(COLLY) PAGE NO. 753-763
GUPTA CITI SHELTERS PRIVATE LIMITED **Transferee Company**	32	100% ANNEXURE-30(COLLY) PAGE NO. 575-729	0	N.A.	1	100% ANNEXURE 40(COLLY) PAGE NO. 764-774	2	100% ANNEXURE 40(COLLY) PAGE NO. 764-774

12. Accordingly, the directions of this Bench in the present case are as under: -

12.1 All the shareholders of the Transferor Companies and Transferee Company have given 'No Objection' to the Scheme on their respective affidavit. Therefore, the requirement of convening the Meetings of Shareholders in respect of the Transferor Companies and Transferee Company is dispensed with.

12.2 As evident from the application, there are 'NIL' Secured and Unsecured Loan Creditors in all the Transferor Companies, therefore, the need to convene their meeting does not arise.

12.3 Furthermore, more than 90% in value of the Unsecured creditors of the Transferor Companies and the Transferee Company have given their consents on respective affidavits, therefore, their meetings are also dispensed with.

13. So far as serving a notice to the various authorities, Section – 230(5) read with Section – 230(3) of Companies Act, 2013 provides for issuance of notice in case a meeting is convened. However, all the meetings are dispensed

in terms of Section – 230(9) of Companies Act, 2013. Hence, there is no requirement of issuing notice to the sectoral regulators at this stage.

14. The application is allowed in the aforesaid terms.

Sd/-
(SUBRATA KUMAR DASH)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)